

Unit 1: Introduction

Concept and Importance of Strategic Management

1. Concept of Strategic Management

Meaning of Strategy

The term **strategy** is derived from the Greek word “*Strategos*”, which means the art of a general.

In business,

Strategy refers to a **long-term plan designed to achieve organizational objectives by effectively utilizing resources and responding to environmental changes.**

Strategy is the process of **identifying, selecting, and pursuing opportunities** that are consistent with an organization’s **purpose, mission, and vision**, with the aim of **creating long-term value for stakeholders** such as customers, employees, owners, and society.

In simple terms: *strategy connects what an organization wants to achieve with the opportunities available in its environment to create value.*

According to **Alfred D. Chandler**:

“Strategy is the determination of the basic long-term goals and objectives of an enterprise and the adoption of courses of action and allocation of resources necessary for carrying out these goals.”

Meaning of Strategic Management

Strategic Management is a continuous and systematic process through which an organization **formulates, implements, and evaluates strategies** to achieve its mission, objectives, and sustainable competitive advantage.

It involves:

- Analyzing the **internal and external environment**
- Setting **vision, mission, and objectives**
- Designing and executing strategies
- Monitoring and controlling performance

Examples

1. **Apple Inc.**

Apple's strategic management focuses on **product differentiation and innovation**.

By continuously developing unique products like the iPhone and MacBook and creating a strong brand image, Apple achieves long-term growth and customer loyalty.

Key Points in the Definition:

1. Analyzing the **internal and external environment**
2. Setting **vision, mission, and objectives**
3. **Formulating strategies** – Developing plans based on organizational goals, strengths, weaknesses, and environmental opportunities and threats.
4. **Implementing strategies** – Putting the plans into action through resource allocation, policies, and coordination across departments.
5. **Evaluating strategies** – Monitoring outcomes, comparing results with objectives, and making necessary adjustments to improve performance.

Authoritative Definitions:

1. **Fred R. David:**

“Strategic management is the art and science of formulating, implementing, and evaluating cross-functional decisions that enable an organization to achieve its objectives.”

1. Characteristics of Strategic Management

Strategic management has several key features that distinguish it from ordinary management practices:

1. **Future-Oriented**
 - Focuses on long-term goals and the future direction of the organization.
 - **Example:** Planning to expand a service app to all major cities in Nepal over the next 5 years.
2. **Comprehensive**
 - Integrates all functions (marketing, finance, operations, HR) to achieve organizational goals.

- **Example:** A retail company coordinating marketing, supply chain, and IT to launch a new e-commerce platform.
- 3. **Goal-Oriented**
 - Directly linked to the organization's vision, mission, and objectives.
 - **Example:** A startup aiming to achieve 30% market share in the next 3 years.
- 4. **Continuous and Dynamic Process**
 - Strategic management is ongoing and adaptive to internal and external changes.
 - **Example:** Adjusting strategies based on market trends or competitor actions.
- 5. **Decision-Making Framework**
 - Provides a basis for consistent and informed managerial decisions.
 - **Example:** Deciding whether to invest in new technology or expand product lines based on strategic analysis.
- 6. **Involves Resource Allocation**
 - Ensures optimal utilization of organizational resources.
 - **Example:** Allocating budget between marketing, operations, and IT for maximum impact.

Importance of Strategic Management

Strategic management is critical for organizations to **survive, grow, and achieve long-term success** in a dynamic and competitive environment. It helps in **planning, decision-making, and resource allocation** to meet organizational goals efficiently.

1. Provides Clear Direction and Purpose

Strategic management helps organizations define their **vision, mission, and objectives**, giving employees and management a clear roadmap.

Example:

A Nepali local service-booking app can decide whether to expand nationwide or focus on urban areas like Kathmandu and Pokhara.

2. Helps Adapt to Environmental Changes

The business environment is constantly changing due to technology, politics, competition, and social trends.

Strategic management involves **environmental scanning**, enabling proactive responses.

Example:

Restaurants that adapted to online delivery after COVID-19 survived, while those without strategic planning struggled.

3. Ensures Optimal Resource Utilization

It helps allocate limited resources—capital, manpower, technology—efficiently to achieve maximum benefit.

Example:

An e-commerce platform investing in targeted digital marketing rather than random campaigns improves ROI.

4. Builds Competitive Advantage

Strategic management allows firms to develop **differentiation, cost leadership, or focus strategies** to outperform competitors.

Example:

Daraz Nepal uses strategic logistics and pricing strategies to maintain its lead over smaller online sellers.

5. Improves Organizational Performance

Companies with clear strategies often show **better financial performance, market share, and customer satisfaction**.

Example:

A firm with a growth strategy expands sustainably, whereas firms without strategic management often face losses.

6. Facilitates Proactive Decision-Making

Strategic management provides a **framework for informed decision-making**, aligning choices with long-term objectives.

Example:

Before launching a new product, a company analyzes market demand, competition, and internal capacity.

7. Encourages Long-Term Sustainability

It shifts focus from reactive short-term decisions to **long-term planning and innovation**, ensuring organizational sustainability.

Example:

Telecom companies investing early in 5G infrastructure prepare themselves for future market leadership.

8. Delivers Value

Strategic management helps organizations create **value for all stakeholders**, including customers, employees, owners, and society, by aligning strategies with market needs and organizational capabilities.

Example:

A customer-centric retail strategy that improves product quality and service enhances customer satisfaction and brand value.

9. Builds Synergy

Strategic management coordinates the efforts of different departments so that the **combined performance exceeds individual contributions**, leading to organizational efficiency and effectiveness.

Example:

When marketing, operations, and finance work together on a product launch, the organization achieves better results than working separately.

Conclusion

In conclusion, strategic management is **essential** for organizations to define direction, adapt to changes, use resources efficiently, achieve competitive advantage, improve performance, and ensure long-term sustainability.

Evolution of Strategic Management

The concept of strategic management has **evolved over time**, moving from a simple planning approach to a comprehensive, dynamic process.

1. Early Years (Pre-1960s): Corporate Planning

- Focus on **financial and operational planning**.
 - Emphasis on **budgeting and short-term planning** rather than long-term strategy.
 - **Example:** General Motors in the 1950s focused on production efficiency and sales forecasting.
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2. 1960s–1970s: Strategic Planning Era

- Introduction of **formal long-term planning** and corporate strategy.
 - Emphasis on **market positioning, corporate objectives, and resource allocation**.
 - **Key contributors:** Igor Ansoff (Corporate Strategy), Alfred Chandler (Structure follows strategy).
 - **Example:** IBM expanded globally with strategic long-term planning.
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3. 1980s: Strategic Management as a Discipline

- Emergence of **SWOT analysis, portfolio analysis (BCG Matrix), and competitive strategy**.
 - Focus on **achieving competitive advantage** and aligning resources with opportunities.
 - **Example:** Coca-Cola's global branding strategy leveraged SWOT analysis for growth.
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4. 1990s–2000s: Strategy in Dynamic Environments

- Recognition that the environment is **dynamic, uncertain, and global**.
 - Focus on **core competencies, knowledge management, and strategic flexibility**.
 - **Example:** Microsoft diversified into software, cloud computing, and gaming to adapt to changing tech.
-

5. Modern Era: Strategic Management as Continuous Process

- Strategies are **continuous, flexible, and adaptive**.
- Integration of **corporate social responsibility, sustainability, and digital transformation**.

- **Example:** Nepali startups using mobile apps and digital platforms continuously update strategies to meet evolving customer needs.
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Conclusion

The evolution shows that strategic management has shifted from **short-term financial planning** to a **holistic, proactive, and dynamic approach** essential for long-term success in a complex environment.

1. Elements of Strategic Management

Strategic management consists of several key elements that help an organization **formulate, implement, and evaluate strategies** effectively. These elements ensure that the organization achieves its long-term goals and sustains competitive advantage.

c) Strategy Formulation

- **Developing action plans** to achieve organizational objectives.
- Requires **analysis of internal resources and external environment** (SWOT, PESTLE).
Example: Daraz Nepal uses **cost leadership and logistics efficiency** to dominate the market.

Internal and External Environment Analysis

- Internal: Resources, capabilities, strengths, weaknesses
 - External: Market trends, competition, political, economic, social, technological factors
 - **Example:** SWOT and PESTLE analyses for a Nepali SME expanding into new cities.
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a) Vision and Mission

- **Vision:** Describes what the organization aspires to become in the long-term. It provides a **sense of direction and purpose**.
Example: *Ncell Nepal's vision:* "To be Nepal's leading telecommunications provider."
- **Mission:** Defines the organization's **purpose, values, and core activities**.
Example: *Ncell's mission:* "To provide reliable and affordable telecom services to all Nepali citizens."

b) Objectives or Goals

- Specific, measurable targets that guide organizational activities.
- Can be **financial (profit, ROI)** or **non-financial (customer satisfaction, market share)**.
Example: A local service app may aim to **increase registered users by 20% in one year**.

○

d) Strategy Implementation

- **Putting formulated strategies into action** through allocation of resources, policies, and procedures.
- Requires coordination across **departments and levels**.
Example: A startup launching a food delivery app allocates budget for app development, marketing, and partnerships.

e) Strategy Evaluation and Control

- **Monitoring and measuring performance** to ensure strategy achieves desired outcomes.
- Allows corrective action if there is a deviation.
Example: An e-commerce platform checks monthly sales vs. targets and revises marketing strategies if needed.

Process of Strategic Management

Strategic Management is a **continuous process** of **strategy formulation, implementation, evaluation, and control** aimed at achieving organizational objectives. It provides a **systematic approach** to align organizational **resources, capabilities, and environmental opportunities** to attain **long-term success**.

The key elements / processes of strategic management are:

1. Strategic Planning (Strategy Formulation Stage)

Strategic planning is the **first step** in the strategic management process. It is mainly concerned with the **formulation of strategy** and the development of **long-term perspectives** for the organization.

Definition

Strategic planning is the process of **analyzing the internal and external environment**, defining organizational goals, and selecting appropriate strategies to achieve those goals.

Key Components of Strategic Planning

a) Environmental Analysis

Environmental analysis is the process of **studying internal and external environments** to identify factors that may influence organizational performance.

Internal Environment

- Identifies **strengths and weaknesses**
- Includes resources, skills, technology, brand image, and operational efficiency

External Environment

- Identifies **opportunities and threats**
- Includes market trends, competitors, customer behavior, technology, government regulations, and economic conditions

Tools Used

- **SWOT Analysis** (Strengths, Weaknesses, Opportunities, Threats)
- **PESTLE Analysis**
- **Porter's Five Forces Model**

Example (Local Service Booking App)

A Nepali local service-booking app analyzes:

- Competitors offering similar services
- Internet and smartphone penetration

- Adoption of digital payments like eSewa and Khalti
 - Customer demand for verified and quick services
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b) Strategy Formulation

After environmental analysis, the next step is **defining the organization's Vision, Mission, and Objectives**, followed by developing and selecting strategic alternatives.

Vision

- Describes **what the organization wants to become in the long term**
- **Example:** *"To become Nepal's most trusted and widely used service-booking platform."*

Mission

- Defines the **purpose and reason for existence**
- Focuses on the value offered to customers and society
- **Example:** *"To provide quick, reliable, and verified home and business services across Nepal through a convenient digital platform."*

Objectives

- Specific, measurable, achievable, realistic, and time-bound goals (SMART)
- **Example:**
 - Increase service requests by 50% in Kathmandu within one year
 - Expand services to Pokhara and Lalitpur in 2 years
 - Achieve a customer satisfaction rating of 90% within 12 months

After environmental analysis, various **strategic alternatives** are developed and evaluated based on:

- **Suitability**
- **Acceptability**
- **Feasibility**

The **best strategy** is then **selected** for implementation.

Levels of Strategy Formulation

1. Corporate Level Strategy

- Concerned with the **overall direction and scope** of the organization
- Focuses on growth, expansion, and synergy

Example (Local Service Booking App):

- Decision to **expand services to all major cities of Nepal within 3 years**
 - Adding new services like appliance repair or home sanitization
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2. Business Level Strategy

- Focuses on **how to compete** in a specific market
- Emphasizes cost leadership, differentiation, or focus strategy

Example (Local Service Booking App):

- Differentiation strategy by offering:
 - Faster response time
 - Verified service providers
 - Transparent pricing compared to competitors
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3. Functional Level Strategy

- Concerned with strategies at the **departmental level**
- Supports corporate and business-level strategies

Examples (Local Service Booking App):

- **Marketing:** Targeted social media ads in Kathmandu and Pokhara
 - **IT:** Develop features like real-time service tracking and instant booking
 - **Operations:** Efficient allocation and dispatch of service providers
-

2. Strategy Implementation

Definition

Strategy implementation is the process of **translating formulated strategies into action**. It is considered the **most critical stage** of strategic management because even the best strategies fail if not implemented properly.

Key Elements of Strategy Implementation

1. Structure Design

- Designing a clear organizational structure
- Defines responsibility, authority, accountability, and communication flow

Example (Local Service Booking App):

- Separate teams for:
 - Marketing
 - Operations
 - Customer support
 - Technical development
-

2. Resource Planning

- Allocation of **human, financial, technological, and informational resources**
- Ensures alignment between resources and strategic objectives

Example (Local Service Booking App):

- Budget allocation for digital marketing
 - Hiring additional service providers
 - Upgrading server capacity to handle increased traffic
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3. Management System

- Formation of effective leadership and management teams
- HR practices, motivation, training, and information systems
- Helps manage change and overcome resistance

Example (Local Service Booking App):

- Weekly performance review meetings
 - Monitoring service completion rates, app performance, and customer feedback
-

3. Strategic Evaluation and Control

Definition

Strategic evaluation and control ensure that the **strategy is moving in the right direction** and organizational objectives are being achieved.

Key Activities

- Monitoring organizational performance
- Reviewing assumptions about the internal and external environment
- Measuring actual performance against planned objectives
- Taking corrective actions when deviations occur

Strategic Control

Ensures alignment between **strategic plans and their implementation**.

Example (Local Service Booking App):

- Tracking Key Performance Indicators (KPIs) such as:
 - Customer satisfaction ratings
 - Number of completed service requests
 - Monthly revenue growth
 - Repeat customers
-

4. Feedback

Definition

Feedback is the **continuous process** of collecting information from internal operations and the external environment to improve the strategic management process.

Purpose of Feedback

- Helps revise strategies
 - Improves planning accuracy
 - Enhances decision-making
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Example (Local Service Booking App)

- Customer reviews highlight service quality issues
 - Service provider feedback helps improve scheduling
 - Competitor analysis helps refine pricing and marketing strategies
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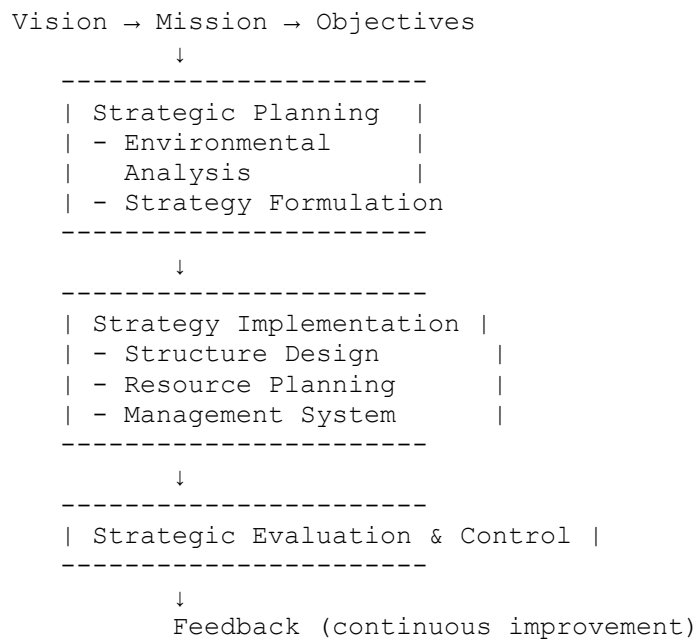
Conclusion

Thus, the strategic management process—**strategic planning, implementation, evaluation, control, and feedback**—ensures that a local service-booking app can **adapt to changes, use resources efficiently, improve performance, and achieve long-term success**.

Example for your app:

- Use customer reviews, service provider feedback, and competitor analysis to refine marketing campaigns, app features, and service processes.
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Flow Diagram (Exam-Friendly)



Conclusion

The **elements/process of strategic management** provide a **structured approach** to achieving organizational goals.

- **Planning** sets direction and formulates strategy.
- **Implementation** translates plans into action.
- **Evaluation & control** ensures strategies remain on track.
- **Feedback** allows continuous improvement.

Together, these elements help organizations **adapt to changing environments, utilize resources efficiently, and achieve sustainable competitive advantage.**

3. Need for Strategy

Organizations need strategy to **survive, compete, and thrive** in a complex and dynamic environment.

a) To Provide Direction

- Strategy ensures all activities **align with vision and mission.**
- **Example:** A startup knows whether to expand services nationwide or stay local.

b) To Gain Competitive Advantage

- Helps organizations **differentiate** from competitors.
- **Example:** Daraz Nepal uses efficient delivery and promotions to stay ahead.

c) To Cope with Environmental Changes

- Helps respond to **political, economic, technological, or social changes.**
- **Example:** Restaurants adopting online delivery after COVID-19.

d) To Optimize Resource Utilization

- Prevents **waste of money, time, and manpower.**
- **Example:** Budgeting digital marketing campaigns for maximum ROI.

e) To Improve Decision-Making

- Provides **framework for informed and consistent decisions.**
- **Example:** Choosing which cities to expand services based on market research.

f) To Ensure Long-Term Survival

- Strategy enables proactive planning rather than reactive responses.
 - **Example:** Telecom companies investing early in 5G infrastructure for future readiness.
-

Conclusion

The elements of strategic management, its systematic process, and the need for strategy are **interlinked components** that help organizations achieve **sustainable growth, competitive advantage, and effective performance**. In today's fast-changing business environment, **having a well-formulated and executed strategy is essential** for survival and success.

Levels of Strategy

Strategy in an organization operates at **three main levels**: Corporate, Business, and Functional. Each level has a distinct purpose, scope, and focus, but all are interconnected to achieve the organization's overall objectives.

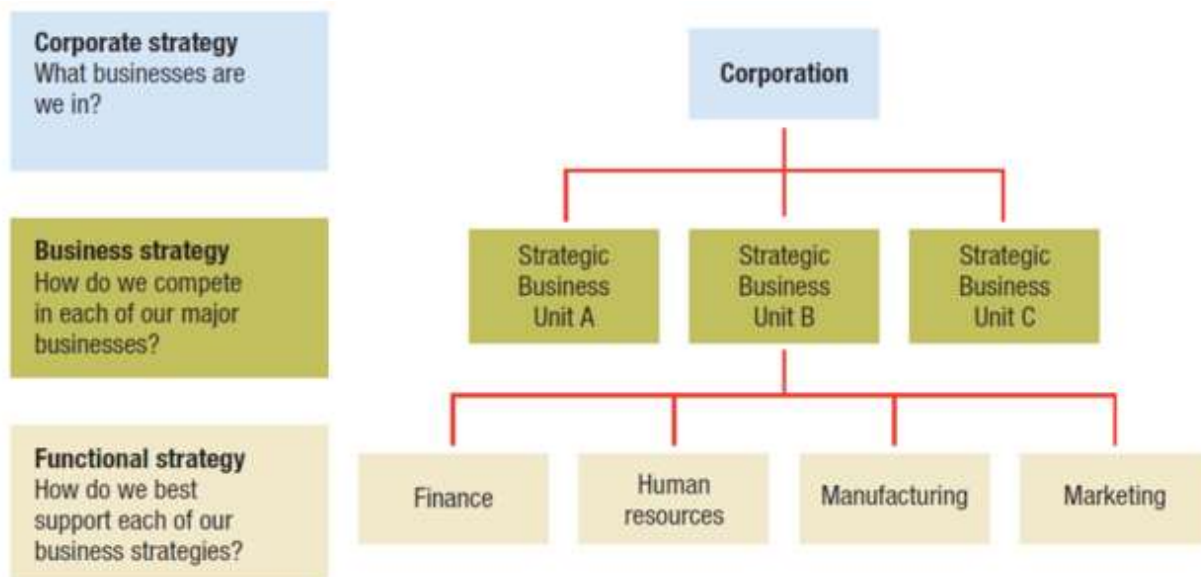


Figure 2.2: A hierarchical diagram detailing different strategies within a corporation; Credit: Abey Francis; <https://www.mbaknol.com/strategic-management/business-strategy-hierarchy/>

1. Corporate Level Strategy

Definition:

Corporate-level strategy defines the **overall scope and direction** of the organization. It focuses on **which businesses or markets the organization will operate in** and how to **create synergy among business units**.

Purpose:

- Guides growth and diversification
- Allocates resources among business units
- Ensures long-term sustainability

Example (Local Service Booking App):

- Decision to **expand operations from Kathmandu to all major cities in Nepal**
 - Add new services like **appliance repair, plumbing, and cleaning services** to increase market share
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2. Business Level Strategy

Definition:

Business-level strategy focuses on **how a particular business unit competes in its specific market**. It addresses **how to gain a competitive advantage** through **cost, differentiation, or focus**.

Purpose:

- Determines how to **compete with rivals**
- Defines **unique value proposition** for customers
- Improves profitability and market position

Example (Local Service Booking App):

- Differentiation strategy by offering:
 - Verified and trusted service providers
 - Faster response times than competitors
 - Transparent pricing
 - Cost leadership strategy: Offering **competitive service fees** to attract more customers
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3. Functional Level Strategy

Definition:

Functional-level strategy focuses on **departmental or functional operations** (Marketing, IT, Operations, HR, Finance) to support **business and corporate strategies**.

Purpose:

- Enhances operational efficiency

- Supports corporate and business objectives
- Aligns departmental goals with organizational goals

Example (Local Service Booking App):

- **Marketing:** Targeted social media campaigns in Kathmandu and Pokhara
 - **IT:** Build features like **real-time service tracking** and **instant booking notifications**
 - **Operations:** Efficient scheduling and dispatch of service providers
 - **Customer Support:** Quick resolution of service complaints
-

Summary Table: Levels of Strategy

Level	Focus Area	Purpose / Role	Example (Service Booking App)
Corporate Level	Overall organization & markets	Growth, diversification, synergy	Expand to multiple cities, add new services
Business Level	Specific business unit / market	Competitive advantage in market	Verified service providers, faster response, competitive fees
Functional Level	Department operations	Operational efficiency, support strategies	Marketing campaigns, IT features, operations management

2. Concept of Strategic Planning

Meaning

Strategic planning is the **systematic process of defining an organization's long-term goals, vision, mission, and objectives**, and then **developing strategies to achieve them**.

It provides a **roadmap** for the organization to align its resources, capabilities, and activities with environmental opportunities and challenges.

It is essentially a **roadmap that guides the organization from its current state to desired future state**.

Example:

A Nepali e-commerce startup creates a strategic plan detailing **market expansion, technology investment, marketing campaigns, and human resource requirements** over the next five years.

Features / Characteristics of Strategic Planning

1. **Future-Oriented**
 - Focuses on long-term objectives and direction.
 - Example: A service-booking app planning to expand to **all major cities in Nepal within 3 years.**
2. **Systematic Process:**
 - Involves **analysis, strategy formulation, implementation, evaluation, and feedback.**
 - Example: Using **SWOT analysis** to identify strengths (skilled service providers) and weaknesses (limited coverage in rural areas).
3. **Comprehensive**
 - Covers all organizational levels and functions.
 - **Example:** Strategy includes finance, marketing, operations, and HR aspects.
4. **Resource-Based**
 - Uses organizational resources efficiently to achieve objectives.
 - **Example:** Allocating budget to marketing and technology development strategically.
5. **Continuous Process**
 - Strategic planning is not one-time; it requires ongoing review and adjustment.
 - **Example:** Updating delivery strategy in response to competition or customer feedback.
6. **Decision-Making Framework**
 - Guides managerial decisions to align with vision and mission.
 - **Example:** Helps decide which cities to expand service operations.
7. **Environmental Scanning**
 - Considers both internal strengths and weaknesses, and external opportunities and threats.
 - **Example:** SWOT and PESTLE analysis for expansion into new cities.
8. **Goal-Oriented**
 - Focused on achieving specific, measurable objectives.
 - Example: Mission: *“To provide fast, reliable, and verified home services across Nepal.”*
9. **Flexibility**
 - Must adapt to changes in market, competition, and technology.
 - **Example:** Changing strategy to include mobile payments as digital adoption increases in Nepal.

Conclusion

Strategic planning is a **critical tool** that provides a clear roadmap for the organization's future. Combined with understanding **levels of strategy**, it ensures **alignment between corporate**

objectives, business competitiveness, and functional efficiency, enabling sustainable growth and competitive advantage.

1. Concept of Vision

Vision is the **long-term aspirational goal** of an organization; it describes **what the organization wants to become in the future**.

It provides **direction, inspiration, and a framework for strategic decision-making**.

Characteristics of a Vision:

- Future-oriented
- Inspirational and motivating
- Provides clarity and focus
- Communicates the organization's purpose to stakeholders
- Motivates employees and stakeholders
- Concise and easy to understand

Example (Local Service Booking App):

"To become Nepal's most trusted and widely used service-booking platform across the country."

Example:

- *Daraz Nepal*: "To become the most trusted e-commerce platform in Nepal."
 - *Ncell*: "To be Nepal's leading and most reliable telecommunications provider."
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2. Concept of Mission

Mission defines the **purpose of the organization, its core functions, and values**.

It explains **why the organization exists** and what it does to achieve the vision.

Mission defines the **purpose and reason for an organization's existence**.

It explains **what the organization does, who it serves, and how it creates value**.

Characteristics of a Mission:

- Present-oriented (focuses on what the organization is doing now)
- Defines business scope and key stakeholders
- Guides decision-making and strategy formulation

- Focuses on current operations and services
- Highlights the target customers or market
- Explains value proposition and approach
- Guides decision-making and strategy

Example (Local Service Booking App):

“To provide quick, reliable, and verified home and business services across Nepal through a convenient digital platform.”

Example:

- *Daraz Nepal*: “To provide a convenient, reliable, and secure online shopping experience to all Nepali consumers.”
- *Ncell*: “To provide affordable and high-quality mobile telecommunication services to Nepal.”

3. Concept of Objectives

Objectives are **specific, measurable targets** that organizations aim to achieve in order to fulfill their mission and vision.

- Can be **financial** (profit, ROI, cost reduction) or **non-financial** (customer satisfaction, social responsibility, market share).
- Provide a **benchmark for performance evaluation**.

Key Features of Objectives:

- Clear and specific
- Measurable and time-bound
- Aligned with vision and mission
- Serve as a basis for performance evaluation

Example (Local Service Booking App):

1. Expand service coverage to **all major cities in Nepal within 3 years**
2. Achieve a **customer satisfaction rating of 90%** within one year
3. Increase monthly active users by **50% in Kathmandu and Pokhara**
4. Recruit and verify **100 additional service providers** within 12 months

Relationship: Vision → Mission → Objectives → Strategy

- **Vision:** Where we want to go
- **Mission:** Why we exist and what we do
- **Objectives:** Measurable steps to achieve the vision

Relationship Between Vision, Mission, and Objectives

Component	Purpose	Focus	Example (Local Service Booking App)
Vision	Long-term aspiration	What organization wants to become	Most trusted and widely used service-booking platform in Nepal
Mission	Purpose and reason for existence	What organization does & how	Provide quick, reliable, and verified services through a digital platform
Objectives	Specific measurable targets	Achievable goals to realize vision & mission	Expand to major cities, increase customer satisfaction, recruit service providers

Roles of Information in Strategic Management

- Information plays a **critical role** in strategic management by supporting decision-making, planning, implementation, and evaluation of strategies.
- It ensures that an organization **responds effectively to internal and external changes**.

1. Supporting Environmental Scanning

- Information helps organizations **analyze internal strengths and weaknesses** and **external opportunities and threats**.
- Tools like **SWOT, PESTLE, and competitor analysis** rely heavily on accurate information.

Example (Local Service Booking App):

- Collecting data on competitor apps like Daraz and SastoDeal
 - Understanding customer demand for services like plumbing or cleaning
 - Analyzing smartphone and internet penetration trends in different cities
-

2. Aiding Strategy Formulation

- Strategic decisions require **accurate, timely, and relevant information**.
- Helps in identifying strategic alternatives, evaluating feasibility, and selecting the best course of action.

Example (Local Service Booking App):

- Using market research data to decide whether to focus on **Kathmandu first or expand nationwide**
 - Analyzing customer feedback to introduce new services
-

3. Facilitating Strategy Implementation

- Information ensures **proper allocation of resources** and supports operational decisions.
- Helps in **coordinating activities across departments** and monitoring progress.

Example (Local Service Booking App):

- Real-time booking and service completion data helps the operations team schedule providers efficiently
 - Marketing analytics guide the budget allocation for campaigns
-

4. Monitoring and Control

- Continuous flow of information is essential to **track performance against objectives**.
- Identifies deviations from planned strategies and triggers corrective action.

Example (Local Service Booking App):

- Tracking KPIs such as completed services, customer satisfaction, and monthly revenue
 - Adjusting service provider assignments or marketing campaigns based on performance data
-

5. Enhancing Decision-Making

- Information reduces uncertainty and helps managers make **informed, proactive, and timely decisions**.

Example (Local Service Booking App):

- Using customer ratings and service provider feedback to improve app features and service quality
 - Deciding whether to add new services like appliance repair based on market demand
-

6. Promoting Innovation and Competitive Advantage

- Information on **market trends, competitor actions, and technology** helps the organization innovate and stay ahead.

Example (Local Service Booking App):

- Introducing real-time tracking and digital payment options to differentiate from competitors
 - Identifying underserved cities to expand operations strategically
-

Accurate, timely, and relevant information is **vital at every stage of strategic management**—from planning and formulation to implementation, evaluation, and innovation. For a Nepali local service-booking app, **information ensures effective decisions, resource optimization, customer satisfaction, and long-term competitive advantage.**

Conclusion

- **Vision** sets the long-term destination,
- **Mission** defines the organization's purpose and scope,
- **Objectives** provide measurable targets,
- **Information** supports analysis, decision-making, implementation, and evaluation.

Together, these concepts **form the foundation of strategic management**, ensuring organizations can achieve sustainable growth and competitive advantage.

Strategic Planning Steps

Strategic planning is a **systematic process of defining organizational direction and allocating resources to achieve long-term goals**. The process involves several **key steps**, which are sequential but often iterative.

1. Setting Vision and Mission

- **Purpose:** Establish the organization's long-term direction (vision) and define its purpose (mission).
 - **Importance:** Provides a clear framework for all subsequent planning.
 - **Example:**
 - *Vision:* "To become Nepal's leading e-commerce platform."
 - *Mission:* "To provide a reliable, convenient, and affordable online shopping experience to Nepali consumers."
-

2. Environmental Scanning

- **Purpose:** Analyze the **internal and external environment** to identify strengths, weaknesses, opportunities, and threats.
 - **Tools:** SWOT analysis, PESTLE analysis, Porter's Five Forces.
 - **Example:**
 - Internal: App development capability, marketing team, budget.
 - External: Competitors like SastoDeal, regulatory policies, internet penetration in rural areas.
-

3. Setting Objectives

- **Purpose:** Define **specific, measurable, achievable, realistic, and time-bound (SMART)** goals that align with the vision and mission.
 - **Example:**
 - Increase app downloads by 25% in one year.
 - Expand service coverage to 5 new cities in 3 years.
-

4. Strategy Formulation

- **Purpose:** Develop **alternative strategies** and select the most suitable one to achieve objectives.
 - **Approach:** Decide on corporate-level, business-level, and functional-level strategies.
 - **Example:**
 - Market penetration strategy in Kathmandu.
 - Differentiation through faster delivery and loyalty programs.
-

5. Strategy Implementation

- **Purpose:** Execute the chosen strategy by allocating resources, designing policies, and coordinating activities across departments.
 - **Key Focus:** Communication, leadership, and resource management.
 - **Example:**
 - Launch marketing campaigns, hire delivery staff, and improve app interface to implement expansion strategy.
-

6. Monitoring and Evaluation

- **Purpose:** Measure performance against objectives, identify deviations, and take corrective actions.
 - **Tools:** KPIs, balanced scorecard, financial analysis, customer feedback.
 - **Example:**
 - Track monthly app downloads, order completion rate, and customer ratings; adjust marketing or operations accordingly.
-

7. Feedback and Control

- **Purpose:** Use information from monitoring to **adjust strategies, plans, and resource allocation** to improve performance.
 - **Importance:** Ensures strategy remains **relevant and adaptive** to changing environments.
 - **Example:**
 - If delivery delays persist, hire additional staff or partner with local couriers to maintain service quality.
-

Diagram (Exam-Friendly)

Vision & Mission → Environmental Scanning → Objective Setting → Strategy Formulation → Strategy Implementation → Monitoring & Evaluation → Feedback & Control → Repeat

Conclusion

The **strategic planning process** is a **dynamic and iterative approach** that helps organizations:

- Align activities with long-term goals
- Adapt to internal and external changes
- Make informed decisions
- Achieve sustainable competitive advantage

Example Summary:

A Nepali service booking app follows these steps to **expand its operations, increase user base,** and **improve service quality**, ensuring long-term success in a competitive market.

Linking Vision, Mission, and Objectives

The **vision, mission, and objectives** of an organization are **closely connected**. Together, they provide a **roadmap** for strategic planning, decision-making, and performance evaluation.

1. Vision → Mission → Objectives

1. Vision:

- Represents the **long-term aspiration** of the organization.
- Answers the question: *“Where do we want to go?”*
- Provides **direction and inspiration** for all organizational efforts.

Example (Local Service Booking App):

“To become Nepal’s most trusted and widely used service-booking platform.”

2. Mission:

- Defines the **purpose and reason for existence**.
- Answers the question: *“Why do we exist and what do we do?”*
- Explains how the organization will work towards achieving its vision.

Example (Local Service Booking App):

“To provide quick, reliable, and verified home and business services across Nepal through a convenient digital platform.”

3. Objectives:

- Represents **specific, measurable, achievable, realistic, and time-bound (SMART) goals**.
- Answers the question: *“What exactly do we need to achieve to realize our mission and vision?”*
- Guides planning, resource allocation, and performance measurement.

Example (Local Service Booking App):

- Expand service coverage to all major cities in Nepal within 3 years
 - Achieve a customer satisfaction rating of 90% within 12 months
 - Recruit and verify 100 additional service providers
-

2. Importance of Linking Vision, Mission, and Objectives

1. Provides Clarity and Direction

- Aligns all organizational activities towards a common purpose.
- **Example:** Marketing, operations, and IT teams all focus on providing verified and fast services.

2. Facilitates Strategic Planning

- Objectives derived from mission and vision help in developing actionable strategies.
- **Example:** Expansion plan to other cities is guided by the objective of becoming the most trusted platform.

3. Ensures Organizational Alignment

- Connects top-level strategic goals to department-level actions.
- **Example:** IT develops real-time booking features, and operations ensures service providers are available — both supporting the same objective.

4. Supports Performance Measurement

- Objectives provide measurable targets to track progress towards mission and vision.
- **Example:** KPI tracking for customer satisfaction, service completion time, and active users indicates progress.

3. Summary Diagram (Simplified)

```
Vision
  ↓
Mission
  ↓
Objectives
  ↓
Strategies & Actions
```

Example Flow (Local Service Booking App):

- **Vision:** Be Nepal's most trusted service app
- **Mission:** Provide reliable, fast, verified services
- **Objectives:** Expand to major cities, recruit 100+ providers, achieve 90% satisfaction
- **Actions/Strategies:** Social media marketing, app feature upgrades, service provider training

5. Practical Example (Nepali Context)

- **Vision:** Become the leading service-booking app in Nepal.
- **Mission:** Provide reliable, fast, and affordable home services across major cities.

- **Objectives:**
 - 30% increase in app downloads in one year
 - Cover 10 major cities within 2 years
 - Maintain 90% on-time service completion rate
 - **Result:** Marketing, operations, and IT teams align their activities with these objectives to ensure **strategic consistency**.
-

Conclusion

Linking **vision, mission, and objectives** ensures that an organization has:

- A **clear long-term direction** (vision)
- A **defined purpose and operational focus** (mission)
- **Measurable, actionable targets** (objectives)

This **alignment forms the foundation of effective strategic management**, guiding all decision-making and resource allocation toward achieving sustainable success.

Different Perspectives on Strategy Formulation

Strategy formulation is the process of **developing courses of action to achieve organizational goals**. Managers and scholars view strategy formulation from **different perspectives**, depending on their focus, approach, and environment. Understanding these perspectives helps organizations **adapt strategy to changing circumstances**.

Different Perspectives on Strategy Formulation

Strategy formulation is the process of **developing strategies to achieve organizational objectives**. Scholars and practitioners view strategy from different perspectives to guide decision-making. The **four main perspectives** are:

1. Design Perspective

Definition:

The design perspective views strategy formulation as a **deliberate, planned, and rational process**. It emphasizes matching the organization's **internal strengths and weaknesses** with **external opportunities and threats (SWOT)** to achieve competitive advantage.

Key Features:

- Rational and logical approach
- Focuses on internal-external alignment
- Strategy is **explicit and well-documented**

Example (Local Service Booking App):

- Internal strength: Verified and skilled service providers
 - External opportunity: Growing demand for home services in Kathmandu
 - Strategy: Launch an app in Kathmandu with verified providers to capture the growing market
-

2. Levels Perspective

Definition:

The levels perspective divides strategy formulation into **three hierarchical levels**: corporate, business, and functional. Each level has a different focus and scope but must align with overall organizational goals.

Key Features:

- Corporate strategy: Overall scope and diversification
- Business strategy: How to compete in a market
- Functional strategy: Departmental actions to support higher-level strategies

Example (Local Service Booking App):

- **Corporate:** Expand to major cities in Nepal
 - **Business:** Differentiate by offering fast, verified services
 - **Functional:** Marketing campaigns, IT real-time tracking, efficient operations
-

3. Positioning Perspective

Definition:

The positioning perspective (Porter's perspective) emphasizes that strategy is about **choosing a**

position in the market to achieve a sustainable competitive advantage. It considers **industry structure and competitors**.

Key Features:

- Focus on competitive positioning
- Emphasizes industry analysis (Porter's Five Forces)
- Strategy is shaped by **market opportunities and threats**

Example (Local Service Booking App):

- Analyze competitors like SastoDeal and Daraz services
 - Position as **the most reliable and verified service provider app**
 - Offer faster response times and transparent pricing to differentiate
-

4. Resource-Based Perspective

Definition:

The resource-based perspective (RBV) views strategy formulation as leveraging the organization's **unique internal resources and capabilities** to achieve a competitive advantage.

Key Features:

- Focus on **internal strengths and capabilities**
- Strategy is based on resources that are **valuable, rare, inimitable, and non-substitutable (VRIN)**
- Long-term competitive advantage comes from **core competencies**

Example (Local Service Booking App):

- Unique resources: Verified and skilled service providers, proprietary app with real-time tracking
 - Strategy: Use these resources to deliver superior customer service and reliability
 - Result: Difficult for competitors to replicate the trust and efficiency
-

Summary Table: Perspectives on Strategy Formulation

Perspective	Focus	Key Idea	Example (Local Service Booking App)
Design Perspective	Internal-External fit	Deliberate planning & SWOT	Launch in Kathmandu using verified providers

Perspective	Focus	Key Idea	Example (Local Service Booking App)
Levels Perspective	Corporate, Business, Functional	Strategy at different organizational levels	Corporate: Expand cities; Business: Differentiate; Functional: IT & Ops support
Positioning Perspective	Market & Industry	Choose a market position	Position as most reliable & verified app
Resource-Based Perspective	Internal resources & capabilities	Leverage unique strengths (VRIN)	Use skilled service providers & real-time app tracking for advantage

1. Design Perspective (Classical Approach)

- **Definition:** Strategy is a **deliberate, rational plan** created by top management based on internal strengths and external opportunities.
 - **Key Idea:** Strategy should be **carefully planned, formal, and top-down**.
 - **Features:**
 - Analytical and systematic
 - Focus on internal-external fit (SWOT)
 - Emphasis on predictability and planning
 - **Example:**
 - A Nepali manufacturing firm conducts a SWOT analysis to decide which product lines to expand before allocating resources.
-

2. Planning Perspective

- **Definition:** Strategy is a **formal, structured, and sequential process** involving forecasting, scenario analysis, and detailed planning.
- **Key Idea:** Organizations can **predict the future environment** and prepare structured plans accordingly.
- **Steps:** Environmental scanning → Goal setting → Strategy formulation → Implementation → Evaluation
- **Example:**
 - An e-commerce company prepares a 3-year strategic plan for expansion into major cities, including marketing, logistics, and HR requirements.

3. Positioning Perspective (Industrial Organization Approach)

- **Definition:** Strategy focuses on **market positioning** to gain a competitive advantage in the industry.
 - **Key Idea:** Emphasis on **external environment and industry structure** rather than internal capabilities.
 - **Tools:** Porter's Five Forces, Competitive Advantage Analysis
 - **Example:**
 - Ncell positions itself as a differentiated telecom service provider to compete with NT by offering better data packages and customer service.
-

4. Entrepreneurial Perspective

- **Definition:** Strategy is **vision-driven**, emerging from the intuition, creativity, and judgment of the entrepreneur or top managers.
 - **Key Idea:** Flexible, opportunistic, and **adaptable to change**.
 - **Features:**
 - Focus on innovation and opportunity recognition
 - Less formal planning
 - **Example:**
 - A Nepali startup introducing an on-demand home service app identifies a gap in rural markets and quickly develops services without a formal plan.
-

5. Cognitive Perspective

- **Definition:** Strategy formulation is influenced by **mental models, perceptions, and beliefs** of managers.
 - **Key Idea:** Managers' experience, biases, and knowledge shape the strategy.
 - **Example:**
 - A seasoned business leader may avoid entering a new sector due to past experiences, even if data shows opportunity.
-

6. Learning Perspective (Emergent Strategy)

- **Definition:** Strategy evolves **gradually over time** through experimentation, experience, and learning from successes and failures.
- **Key Idea:** Strategy is not only planned but **emerges from day-to-day activities**.
- **Features:**

- Adaptive, flexible, and iterative
- Encourages decentralized decision-making
- **Example:**
 - A Nepali food delivery startup experiments with different delivery zones, pricing, and marketing campaigns before settling on an effective strategy.

7. Cultural Perspective

- **Definition:** Strategy is shaped by **organizational culture, values, and norms**.
- **Key Idea:** Culture influences strategic choices and execution style.
- **Example:**
 - A family-owned Nepali business may prioritize long-term stability and employee welfare over aggressive market expansion.

Summary Table (Exam-Friendly)

Perspective	Focus	Key Feature	Example
Design	Top-down, analytical	SWOT, internal-external fit	Manufacturing firm SWOT analysis
Planning	Formal process	Forecasting, sequential planning	3-year e-commerce expansion plan
Positioning	Industry & market	Competitive advantage	Ncell differentiation strategy
Entrepreneurial	Innovation & vision	Opportunistic, flexible	Startup rural service app
Cognitive	Manager's perception	Decisions influenced by experience	Avoiding risky market entry
Learning	Emergent strategy	Adaptive, iterative	Trial-and-error delivery zones
Cultural	Organizational culture	Strategy shaped by norms/values	Family-owned long-term stability

Conclusion

Different perspectives on strategy formulation provide **multiple lenses** for understanding how strategies are created:

- From **formal top-down planning** (design, planning)
- To **market-driven positioning**
- To **emergent and adaptive strategies** (learning, entrepreneurial)

In practice, **effective strategy formulation often combines these perspectives**, balancing **rational analysis, environmental adaptation, and innovation**.